TASK - 5 : SALES DATA ANALYSIS

Key Insights and Business Interpretation

Insight 1: Electronics accounts for the largest share of revenue.

Electronics generates ₹3,14,989 in revenue, contributing approximately 78.8% of total sales.

Business Interpretation: The Electronics category plays a significant role in the company's overall revenue. This indicates a strong market contribution from this category and highlights its importance to business performance.

Insight 2: Overall sales performance is above the set target.

The business recorded total sales of ₹3,99,761, achieving 133.25% of its sales target of ₹3,00,000.

Business Interpretation: Exceeding the established sales target reflects encouraging business performance and suggests that the sales strategy has been effective during the reporting period.

Insight 3: The business demonstrates healthy gross profitability.

The total gross profit stands at ₹95,831, resulting in a gross profit margin of approximately 23.97%.

Business Interpretation: The positive gross profit margin indicates that the business is generating returns after covering product costs. Maintaining this margin will be important for long-term financial sustainability.

Insight 4: Customer data reveals opportunities for repeat business.

The dataset records 20 unique orders from 17 distinct customers, with an average order value of ₹19,988.05.

Business Interpretation: The difference between the number of orders and customers suggests that certain customers have purchased more than once. This creates opportunities to improve customer engagement and encourage continued purchases.

Insight 5: Product categories show differences in revenue and profit contribution.

Electronics leads in both revenue generation and gross profit, whereas Stationery records the lowest revenue contribution.

Business Interpretation: The varying performance across categories highlights the need for different sales approaches, promotional activities, and inventory allocation based on category performance.

Recommendations

Prioritize the Electronics Category: Ensure consistent product availability and strengthen promotional campaigns for popular Electronics products to sustain its strong revenue contribution.

Improve Performance of Other Categories: Use discounts, bundled offers, and competitive pricing strategies to improve sales in Stationery and Accessories.

Build Stronger Customer Relationships: Introduce customer loyalty schemes, customized promotions, and repeat-purchase benefits to encourage long-term customer engagement.

Track Profitability Regularly: Monitor gross profit and profit margins across product categories to identify opportunities for better pricing decisions and cost management.

Monitor Sales Targets Continuously: Implement Power BI KPI indicators and target-versus-actual comparisons to evaluate sales performance and support data-driven business decisions.



